CASCADIA ANALYTICS

# Rubrik, Inc.

Equity Research Note | RBRK | 23 OCTOBER 2026

## Cyber Resilience Platform

Rubrik screens as a Buy with a $128.27 blended target, 0% below the current price.

**Analyst: Justin Wen**

| REFERENCE PRICE | BLENDED TARGET | BLENDED UPSIDE | |
|---|---|---|---|
| $128.73 | $128.27 | -0% | BUY |

### Investment Thesis

Cyber Resilience Platform. Data protection repositioned as cyber recovery. $1.66B subscription ARR (+33%) with cloud ARR at 89% of the base and NRR above 119% [10-Q Q2 FY27]. Profitability Inflection. FCF went from $33M in FY25 to $253M in FY26, and FY27 guides $323-333M with positive non-GAAP EPS of $0.47-0.53 [8-K FY26][8-K guid]. Rule of 40 is in sight. Fair Price, Not Cheap. At $128.73 [Mkt 17-Oct-26], the DCF base of $127.06 implies 1% downside and the market prices in 37.8% CAGR. It is the cheapest

- Cyber Resilience Platform
- Profitability Inflection
- Fair Price, Not Cheap

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## The latest print

**Profitability Inflection.** FCF went from $33M in FY25 to $253M in FY26, and FY27 guides $323-333M with positive non-GAAP EPS of $0.47-0.53. Rule of 40 is in sight.

**Fair Price, Not Cheap.** At $128.73, the DCF base of $127.06 implies 1% downside and the market prices in 37.8% CAGR. It is the cheapest growth-adjusted name in AI-cyber, but not a bargain.

| $1.66B | $427.3M | >119% | 3,084 | 14.0% | $65.7M |
|---|---|---|---|---|---|
| SUBSCRIPTION ARR (Q2 FY27) | REVENUE (Q2 FY27) | NET RETENTION RATE | CUSTOMERS $100K+ ARR | ARR CONTRIBUTION MARGIN (TTM) | FREE CASH FLOW (Q2 FY27) |

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Subscription ARR (Q2 FY27)** | $1.66B | +33% | Up |
| **Revenue (Q2 FY27)** | $427.3M | +38% (+43% normalized) | Up |
| **Net Retention Rate** | >119% | vs >120% prior year | Flat |
| **Customers $100K+ ARR** | 3,084 | +23% | Up |
| **ARR Contribution Margin (TTM)** | 14.0% | +4.6 pts (from 9.4%) | Up |
| **Free Cash Flow (Q2 FY27)** | $65.7M | vs $57.5M prior year | Up |
| **FY2027 Revenue Guide** | $1.685-1.693B | +28% | Up |
| **FY2027 FCF Guide** | $323-333M | 19.4% margin at midpoint | Up |

## The moat

Identity Resilience: ~$20M subscription ARR three quarters post-GA, customer count doubled in Q2

## The growth engine

Rubrik Agent Cloud: 15+ paying customers in AI agent security, early proof-of-concept conversions

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## Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

| SCENARIO | WEIGHT | 2026-35 CAGR | 2035 REVENUE | 2035 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|---|
| **Bear** | 25% | 14.3% | $5.36B | 25.0% | **$98.93** | -23% |
| **Base** | 50% | 16.9% | $6.78B | 28.0% | **$127.06** | -1% |
| **Bull** | 25% | 19.5% | $8.53B | 30.0% | **$160.02** | +24% |

**Bear:** downside case at $98.93 (-23%).

**Base:** central case at $127.06 (-1%).

**Bull:** upside case at $160.02 (+24%).

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# The probability-blended target implies 0% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -0% from the $128.73 reference price.

**$128.27**
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

| | |
|---|---|
| Revenue base (2026E) | **$1.32B** |
| Valuation horizon | **2026-2035** |
| Live WACC | **9.25%** |
| Terminal growth | **3.0%** |
| Net cash | **$620M** |
| 2035 FCF (Base) | **$3.10B** |
| 10-year Treasury yield | **5.0%** |
| Beta | **1.14** |
| Equity risk premium | **3.7%** |

**BUY | $128.27 BLENDED TARGET | WEN**

## The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 40.1%, verdict vs scenarios.

## Reverse DCF sensitivity

Implied enterprise value and share price at each ten-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|---|---|---|
| +0% | $5.4B | $28.99 | +20% | $12.4B | $63.41 | **+40%** | **$25.9B** | **$128.74** |
| +1% | $5.6B | $30.19 | +21% | $12.9B | $65.81 | +41% | $26.8B | $133.11 |
| +2% | $5.9B | $31.43 | +22% | $13.5B | $68.30 | +42% | $27.7B | $137.61 |
| +3% | $6.1B | $32.73 | +23% | $14.0B | $70.87 | +43% | $28.7B | $142.23 |
| +4% | $6.4B | $34.07 | +24% | $14.5B | $73.51 | +44% | $29.7B | $146.97 |
| +5% | $6.7B | $35.46 | +25% | $15.1B | $76.25 | +45% | $30.7B | $151.85 |
| +6% | $7.0B | $36.91 | +26% | $15.7B | $79.06 | +46% | $31.7B | $156.86 |
| +7% | $7.3B | $38.41 | +27% | $16.3B | $81.97 | +47% | $32.8B | $162.01 |
| +8% | $7.6B | $39.96 | +28% | $16.9B | $84.96 | +48% | $33.9B | $167.30 |
| +9% | $7.9B | $41.57 | +29% | $17.5B | $88.05 | +49% | $35.0B | $172.72 |
| +10% | $8.3B | $43.23 | +30% | $18.2B | $91.24 | +50% | $36.1B | $178.29 |
| +11% | $8.6B | $44.96 | +31% | $18.9B | $94.51 | +51% | $37.3B | $184.01 |
| +12% | $9.0B | $46.74 | +32% | $19.6B | $97.89 | +52% | $38.5B | $189.88 |
| +13% | $9.4B | $48.59 | +33% | $20.3B | $101.37 | +53% | $39.8B | $195.90 |
| +14% | $9.8B | $50.50 | +34% | $21.0B | $104.95 | +54% | $41.0B | $202.08 |
| +15% | $10.2B | $52.48 | +35% | $21.8B | $108.64 | +55% | $42.3B | $208.42 |
| +16% | $10.6B | $54.52 | +36% | $22.6B | $112.44 | +56% | $43.7B | $214.92 |
| +17% | $11.1B | $56.64 | +37% | $23.4B | $116.34 | +57% | $45.0B | $221.58 |
| +18% | $11.5B | $58.82 | +38% | $24.2B | $120.36 | +58% | $46.5B | $228.42 |
| +19% | $12.0B | $61.08 | +39% | $25.0B | $124.49 | | | |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | EXIT EV/ FCF | TERMINAL GROWTH | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|---|---|
| **Bear** | $24.23B | 15.0x | 3.0% | $620M | $24.85B | **$98.93** |
| **Base** | $31.29B | 20.0x | 3.0% | $620M | $31.91B | **$127.06** |
| **Bull** | $39.57B | 25.0x | 3.0% | $620M | $40.19B | **$160.02** |

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## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

| SCENARIO | 2026 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 | 2034 | 2035 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Bear** | $98.90 | $108.05 | $115.04 | $121.83 | $128.17 | $134.00 | $139.21 | $143.70 | $147.41 | $150.35 | $152.62 |
| **Base** | $127.02 | $138.77 | $148.46 | $157.99 | $167.02 | $175.42 | $182.97 | $189.50 | $194.88 | $199.10 | $202.25 |
| **Bull** | $159.97 | $174.77 | $187.64 | $200.46 | $212.74 | $224.28 | $234.73 | $243.79 | $251.26 | $257.06 | $261.29 |

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $128.27 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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# The franchise deep dive

Identity Resilience: ~$20M subscription ARR three quarters post-GA, customer count doubled in Q2

Rubrik Agent Cloud: 15+ paying customers in AI agent security, early proof-of-concept conversions

Security products now drive 40% of net retention, up from 32% a year ago

Remaining performance obligations $2.62B, up 29.5% YoY, with 53% to recognize in 12 months

## Revenue and margin trend

| METRIC | FY24 | FY25 | FY26 | TTM |
|---|---|---|---|---|
| **Revenue** | n/a | $886.5M | $1.316B | $1.542B |
| **Gross Margin (non-GAAP)** | n/a | 77.4% | 81.5% | 81.0% |
| **Subscription ARR** | n/a | n/a | $1.46B | $1.66B |
| **FCF Margin** | n/a | 3.7% | 19.3% | 8.8% |

## Valuation cross-check

P/S ~15x

DCF Base $127.06 vs $128.73 (-1%)

Reverse DCF implies 40.0% CAGR

Terminal value construction, disclosed in full: terminal value is the Gordon growth leg alone on 2035 free cash flow, and the exit EV/EBITDA leg is retained in the model as a cross-check only. Legs are stated in billions of dollars. The Gordon leg is 51.0 in the Base case, 38.5 in the Bear case and 65.9 in the Bull case. The exit leg on 2035 EBITDA is 42.7 in the Base case at a 20.0x multiple, 22.5 in the Bear case at 15.0x and 72.5 in the Bull case at 25.0x. Because the exit leg sits below the Gordon leg in the Bear and Base cases, removing the average raised those targets. At the model's terminal discount rate the Base exit leg implies 1.87% perpetual growth against the 3.0% assumed in the Gordon leg, and the growth-consistent exit multiple is 23.9x against the 20.0x used. The present value of terminal value is 67.3% of Base enterprise value (Bear 65.5%, Bull 68.7%).

The model says fair value, not a discount, and the implied growth bar is high.

CRWD ~40x P/S

PANW ~28x P/S

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RBRK ~14.5x on ~46% growth

Cheapest growth-adjusted multiple in the AI-cyber set, far below CrowdStrike and Palo Alto on similar or faster growth.

IPO Apr 2024 at $32

52wk range $42.25-$127.90

Short public history; up ~250% from IPO but trading below the $128 recent high after two sell-the-news reactions.

## What to monitor

**Dec 2026.** Q3 FY27 Earnings (Positive): $429-431M revenue guide implies 31% normalized growth. Test of whether ARR momentum holds as migrations tailwind fades.

**FY27.** Identity & Agent Cloud Scale (Positive): Identity hit $20M ARR in 3 quarters; Agent Cloud has 15+ paying customers. New product legs are the upside lever.

**Jan 2027.** FY2028 Outlook (Two-Sided): First full guide after the migration tailwind fully rolls off. Reported revenue growth faces a material-rights headwind.

## Financial summary: income statement

| YEAR | REVENUE | GROSS PROFIT | OPERATING INCOME | EBITDA |
|---|---|---|---|---|
| **2023** | $600M | $418M | $-262M | $-235M |
| **2024** | $628M | $483M | $-307M | $-273M |
| **2025** | $887M | $621M | $-1.1B | $-1.1B |
| **2026** | $1.3B | $1.1B | $-345M | $-272M |

## Balance sheet

| YEAR | TOTAL ASSETS | TOTAL LIABILITIES | TOTAL EQUITY | CASH |
|---|---|---|---|---|
| **2023** | $769M | $1.9B | $-1.1B | $136M |
| **2024** | $874M | $2.3B | $-1.4B | $130M |
| **2025** | $1.4B | $2.0B | $-554M | $186M |
| **2026** | $2.8B | $3.3B | $-520M | $380M |

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## Cash flow

| YEAR | OPERATING CF | CAPEX | FINANCING CF | FREE CF |
|---|---|---|---|---|
| **2023** | $19M | $-34M | $172M | $-15M |
| **2024** | $-5M | $-20M | $96M | $-25M |
| **2025** | $48M | $-27M | $398M | $22M |
| **2026** | $283M | $-45M | $737M | $238M |

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $128.27 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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# Agency risk score 55 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 2.31% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $43.20M of sales, a net flow of -$43.20M. One-year total shareholder return is +56.8% against CEO total pay of $1.80M (Mr. Bipul Sinha), which the model scores as PERFORMANCE EARNED.

**55**
AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 15 / 40 | 2.31% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 14 / 30 | Buys $0 (0) vs sales $43.20M (21), net -$43.20M, trailing six months |
| **Pay-for-Performance** | 26 / 30 | PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +56.8%; Mr. Bipul Sinha, Co-Founder, CEO & Chairman, total pay $1.80M |
| **Agency Risk Score** | **55 / 100** | Regime: BALANCED / TYPICAL CORPORATE |

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## Recent Form 4 filings

| DATE | FILER | RELATION | TYPE | SHARES | VALUE |
|---|---|---|---|---|---|
| **2026-10-07** | Nithrakashyap Arvind | Chief Technology Officer | SELL | 38,460 | $4.78M |
| **2026-10-05** | Wassenaar Yvonne | Director | SELL | 721 | $85.8K |
| **2026-09-10** | Nithrakashyap Arvind | Chief Technology Officer | SELL | 38,460 | $3.49M |
| **2026-09-03** | Wassenaar Yvonne | Director | SELL | 721 | $64.5K |
| **2026-09-01** | Thompson John Wendell | Director | SELL | 13,500 | $1.20M |
| **2026-08-24** | Choudary Kiran Kumar | Chief Financial Officer | SELL | 10,000 | $983.2K |
| **2026-08-05** | Nithrakashyap Arvind | Chief Technology Officer | SELL | 38,460 | $3.05M |
| **2026-08-03** | Thompson John Wendell | Director | SELL | 13,500 | $1.00M |

## SEC proxy audit, DEF 14A filed 2026-04-15

**Alignment grade C.** PAY INCREASE (+6.9%). Bipul Sinha, fiscal 2026 vs fiscal 2025; total compensation change year on year: +6.9%.

| BASE SALARY | STOCK AWARDS | NON-EQUITY INCENTIVE | OTHER COMPENSATION |
|---|---|---|---|
| **$620,000** | $0 | $609,027 | $0 |

The CEO’s compensation rose primarily due to a 7.8% base salary increase and a full target bonus payout, while no equity awards were granted. The Compensation Committee justified the pay hike with market data and a focus on retaining talent, but the lack of equity dilutes alignment with long-term shareholder value. Accountability to TSR remains limited because the CEO’s total compensation is largely cash-based.

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Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1943896/000194389626000034/rbrk-20260415.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 23 October 2026 for this note.

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## The bear case

### Material-Rights Headwind

CFO flagged that the sharp drop in material-rights revenue is a meaningful headwind to reported revenue growth for FY27.

### Migration Tailwind Fading

The legacy-to-cloud migration run is wrapping up this year, which will make cloud net-new ARR comparisons tougher going forward.

### Dilution & SBC

Heavy stock-based compensation drove a $1.15B GAAP loss in FY25 and negative equity; share count keeps inflating and diluting holders.

### Sell-the-News Pattern

Shares have sold off after multiple beats (Q1 and Q2 FY27), and the stock trades 12% below its 52-week high with elevated beta.

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## The strengths

### Operating Quality

81% non-GAAP gross margins with net-cash balance sheet ($1.75B cash vs $1.13B converts). NRR above 119% shows real expansion. Offset: still GAAP unprofitable with negative equity and heavy stock-based comp.

### Recent Trend

ARR compounding at 33-34% for three straight years. Normalized revenue growth accelerated to 43% in Q2 FY27. FCF swung from $33M to $253M in one year and contribution margin jumped 9.4% to 14.0%. Textbook inflection.

### Forward Growth

FY27 guide: 28% revenue and 29% ARR growth with positive non-GAAP EPS. Identity and Agent Cloud are credible new legs. Discount: cloud migration tailwind is wrapping up and material-rights headwinds drag reported growth.

### Valuation

DCF base $127.06 sits 1% below the $128.73 price, and the reverse DCF implies a demanding 37.8% CAGR. The offset: at ~14.5x sales on ~46% growth, it is the cheapest growth-adjusted multiple in the AI-cyber peer set.

## Cascadia scorecard

**Composite score 69: Attractive.** Confidence High, as of 17-Oct-2026.

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| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | 81% non-GAAP gross margins with net-cash balance sheet ($1.75B cash vs $1.13B converts). NRR above 119% shows real expansion. Offset: still GAAP unprofitable with negative equity and heavy stock-based comp. | 74 |
| **Recent Trend** | ARR compounding at 33-34% for three straight years. Normalized revenue growth accelerated to 43% in Q2 FY27. FCF swung from $33M to $253M in one year and contribution margin jumped 9.4% to 14.0%. Textbook inflection. | 82 |
| **Forward Growth** | FY27 guide: 28% revenue and 29% ARR growth with positive non-GAAP EPS. Identity and Agent Cloud are credible new legs. Discount: cloud migration tailwind is wrapping up and material-rights headwinds drag reported growth. | 76 |
| **Valuation** | DCF base $127.06 sits 1% below the $128.73 price, and the reverse DCF implies a demanding 37.8% CAGR. The offset: at ~14.5x sales on ~46% growth, it is the cheapest growth-adjusted multiple in the AI-cyber peer set. | 52 |
| **Catalysts & Risk** | Q3 print in December and Identity/Agent Cloud scaling are near-term positives. Risks: sell-the-news after beats, 27% share-count inflation from SBC, and the migration comp gets harder. Slight positive skew. | 62 |

## Investment view

A Q3 FY27 miss on ARR or NRR slipping below 115% would cut Trend and Forward Growth. Conversely, Identity and Agent Cloud scaling faster than expected could make the bull case ($160.02) reachable.

**Investment view: Buy. The $128.27 blended target implies -0%, balancing the $98.93 / $127.06 / $160.02 Bear / Base / Bull outcomes.**

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